



Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

CURRENT SUPPLY

121,603,980 ETH

BASE GAS

0.1 Gwei

ETH PRICE

\$2,243 USD

Data sourced from ultrasound.money | Trailing 7-day metrics

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-day net supply change: +19,445.89 ETH | Issuance offset ratio: 0.01x | Current supply: 121,603,980 ETH

Net Change
(+19,446 ETH)



Burn
(-192 ETH)



Issuance
(+19,638 ETH)



7-DAY NET CHANGE

+19,445.89 ETH

ISSUANCE (7D)

+19,638.29 ETH

BURN (7D)

-192.39 ETH

OFFSET RATIO

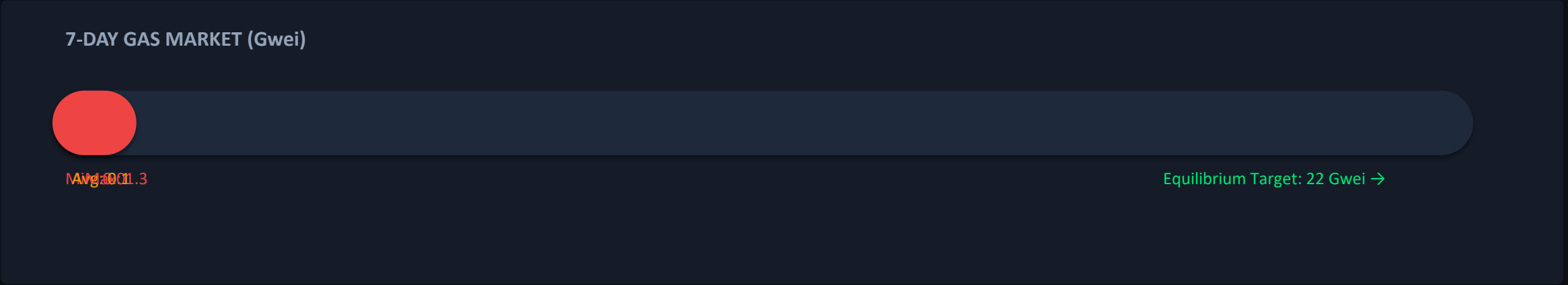
0.01x

ANNUAL GROWTH

+0.83%/year

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns base fee per transaction — low gas prices mean minimal ETH destruction



BLOB GAS (AVG)	BLOB FEE BURN (7D)	EQUILIBRIUM ASSUMPTION	CURRENT VS TARGET
7,144,934 wei ~7.1M wei average blob gas price	0.15 ETH (\$319) Minimal L2 data availability fees	22 Gwei avg base gas Required for issuance/burn balance	0.1 vs 22 Gwei 220x gap between current and equilibrium

Key Insight: Low gas = low burn = temporary supply inflation. The ultra sound money thesis requires sustained on-chain activity recovery to drive gas above equilibrium levels.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn breakdown by category | Total: ~192 ETH burned



TOP BURN CONTRIBUTORS (7D)

1.	ETH Transfers	21.74 ETH
2.	Tether (USDT)	13.55 ETH
3.	DeFi Contracts	~17 ETH
4.	Misc Contracts	~4 ETH
5.	NFT Activity	~3 ETH
6.	Contract Creations	~2 ETH

Recent blocks burn 0.00–0.01 ETH each | 7d record: 0.07 ETH/block

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

32% of total supply locked in proof-of-stake | Validator economics favor protocol issuance over market fees

ETH STAKED

38.9M ETH

~32% of total supply

TOTAL VALIDATOR APR

~2.9%

Issuance + Tips + MEV

SCARCITY LOCK

9.1M ETH

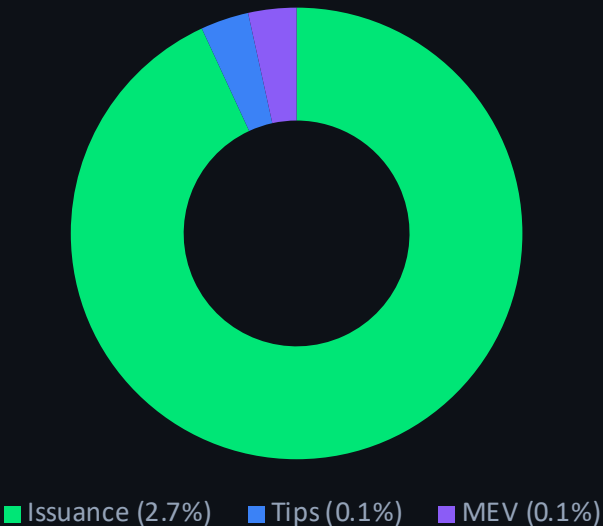
Avg lock period: 10.7 years

PoS ISSUANCE

~2,800 ETH/day

Primary validator income source

APR



VALIDATOR REWARD BREAKDOWN

Reward Type	Per Validator	APR
Issuance	0.9 ETH	2.7%
Tips	0.0 ETH	0.1%
MEV (estimate)	0.0 ETH	0.1%
Total	—	~2.9%

Long-Term Equilibrium Projected at 125.7M ETH

200-year supply projection | Issuance-burn balance at ~1,037K ETH/year | Assumptions: 39M staked, 22 Gwei avg base gas



HISTORICAL ERA TRANSITIONS

- **Genesis** 5 ETH/block
- **Byzantium** 3 ETH/block
- **Constantinople** 2 ETH/block
- **Phase 0** Staking begins
- **London** EIP-1559 burn
- **The Merge** PoW removed

EQUILIBRIUM PARAMETERS

PoS Issuance: ~2,800 ETH/day
Fee Burn: ~2,200 ETH/day
Balance Point: ~1,037K ETH/year
Stakers earn 2.7% | Non-stakers: -1.2%/yr

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping progress across monetary benchmarks | Total Value Secured: ~\$307.6B

vs. BITCOIN

18.70%

ETH/BTC market cap ratio

vs. USD

1.30%

ETH/USD supply ratio

vs. GOLD

0.89%

ETH/Gold market cap ratio

Total Value Secured



■ ETH (native) ■ ERC20 Tokens ■ NFTs

TOP ERC20s

Dai	\$4.41B
Shiba Inu	\$3.51B
Cronos	\$2.97B
Tether Gold	\$2.65B

TOP NFTs

CryptoPunks	\$2.13B
BAYC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact

Gas activity is the critical variable — structural mechanics are proven, utilization must follow

1

Currently Mildly Inflationary

ETH supply growing at +0.83%/year due to historically low gas (avg 0.1 Gwei). Burns offset only ~1% of issuance over 7 days — a temporary condition tied to low on-chain activity, not a structural flaw.

2

Burn Mechanism Is Proven but Activity-Dependent

EIP-1559 burn works as designed. DeFi and ETH transfers drive 85% of burn activity. Sustained gas recovery above 22 Gwei is needed to reach deflationary equilibrium.

3

Massive Supply Lock via Staking

38.9M ETH (32% of supply) staked with validators earning ~2.9% APR. 9.1M ETH locked in scarcity contracts for avg 10.7 years — creating persistent supply-side pressure.

4

Structural Equilibrium at 125.7M ETH

200-year projection shows supply converging to 125.7M ETH where issuance and burn balance at ~1,037K ETH/year. Post-merge supply dynamics are fundamentally different from PoW era.

5

Growing Monetary Premium

ETH secures \$307B+ in total value, has reached 18.7% of Bitcoin's market cap and 0.89% of gold. The monetary premium is real and growing — but the path to ultra sound money requires the ecosystem to deliver sustained demand.